

Rigetti Computing, Inc.

RGTI NASDAQ

Hold

\$19.45 ▲ 0.65%

12M Price Target
\$24.00

52-Week Range
\$11.43 – \$58.15

Market Cap
\$6.46B

RGTI: Quantum Hype Cooling, D-Wave Steals DC Spotlight

WHAT HAPPENED

- Stock is basically flat (\$19.44, +0.65%) on much lighter volume (10M vs the 25-30M we've been seeing) — that tells me the buyers and sellers have run out of conviction here. Everyone's waiting for the next catalyst.
- The Barron's piece saying D-Wave is "winning over Washington" is the headline that should bug RGTI holders — in quantum, the government is basically the only real customer right now, so if a rival is getting more DC attention, that's market share you're losing before revenue even shows up.

WHY IT MATTERS

Here's what's really going on: RGTI is stuck at 17% of its 52-week range (\$11-\$58) because the story has cooled while the fundamentals haven't caught up. The bearish tell is the insider selling — the CEO and a director dumped over \$5.8M in shares between June 1-22 at prices between \$20-24, which means the people who know the business best don't see \$30+ any time soon. Meanwhile, the "Cash Crisis" headline from 24/7 Wall St. is the elephant in the room: quantum companies burn cash for years before revenue arrives, and the market is starting to separate the survivors from the pretenders. RGTI has liquidity (that Zacks piece confirms it), but liquidity ≠ winning — D-Wave is winning the narrative war right now, and narrative drives these speculative names more than fundamentals.

POLICY & POLITICAL WATCH

The big one to watch is the National Quantum Initiative Reauthorization Act — it's been kicking around Congress and would extend/expand federal quantum R&D funding (currently ~\$1.2B/year across DOE, NSF, DoD). If it passes with a boost, every quantum name rips; if it stalls or gets cut in a budget fight, RGTI's DOE and DARPA contract pipeline dries up. Also keep an eye on export controls — the Commerce Department has been tightening restrictions on quantum tech exports to China, which is a double-edged sword: it protects US leaders like RGTI from Chinese competition but also caps their international revenue upside.

IS IT EXPENSIVE?

This is where it gets uncomfortable — RGTI has a \$6.46B market cap on ~\$15M of expected 2026 revenue. That's investors paying roughly \$430 for every \$1 of current revenue, which is astronomical even for a moonshot tech story (for context, high-growth AI names trade at \$20-50 per \$1 of revenue). The valuation only makes sense if you believe quantum "wakes up" commercially in the next 3-5 years and RGTI is one of 2-3 winners — otherwise you're paying a lottery-ticket price for a lottery ticket.

WHAT COULD GO WRONG

Langston's | Equity Research Coverage

AI-Generated Pre-Market Brief | 2026-07-01 15:23 UTC

This report is prepared by Langston's using SEC Edgar filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

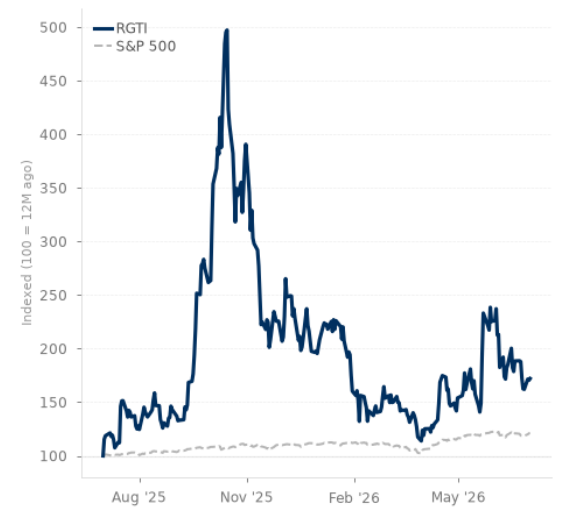
Key Data

Price (USD)	\$19.45
12M Price Target	\$24.00
Upside / (Downside)	+23.4%
Market Cap	\$6.46B
FY2026E Revenue	\$15M
FY2027E Revenue	\$22M
FY2026E EPS	(\$0.28)
FY2027E EPS	(\$0.24)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$24.00	\$20.00	\$16.00
6 Months	\$30.00	\$22.00	\$13.00
1 Year	\$38.00	\$24.00	\$11.00
2 Years	\$55.00	\$30.00	\$8.00
5 Years	\$120.00	\$45.00	\$5.00
10 Years	\$300.00	\$80.00	\$2.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Communication Services (+3.37%) and Financials (+2.05%) are leading — this is a classic "risk-on" tape, which normally would help speculative names like RGTI, but quantum is trading on its own narrative right now.

COOLING OFF: Nothing is genuinely rolling over today, but Real Estate's -0.64% five-day drift suggests rates staying higher for longer, which is a subtle headwind for cash-burning growth stories like RGTI (higher rates = future profits worth less today).

ROTATION WATCH: Money is flowing to profitable growth (Comm Services, financials with real earnings), not speculative growth — that's why RGTI is stuck. The market wants earnings, not promises.

RELATED PLAY: If you believe in the quantum theme but want less binary risk, look at IBM or GOOGL — they have real quantum programs embedded in cash-flowing businesses, so you get the upside without the "goes to zero" risk.

WHO'S WINNING IN THIS SPACE?

- QBTS (D-Wave Quantum): Winning the Washington narrative war per Barron's — this is the momentum name in the group right now.
- IONQ (IonQ): The "premium" quantum name with the deepest bench of enterprise partnerships and strongest balance sheet.

RGTI CONTEXT: RGTI is lagging — 17% of 52-week range while QBTS gets the DC headlines tells you the market has picked its favorite for H2 2026, and it's not Rigetti. That doesn't mean RGTI can't catch up, but they need a headline catalyst (contract win, milestone) to close the gap.

WHAT I'D DO WITH THIS STOCK

5/10 Conviction Score

CONVICTION: 5/10 — I'm neutral here. The long-term quantum thesis is real, but insider selling + rival momentum tells me there's no rush to buy today.

POSITION SIZE: Keep it small — 1-2% max. This is a lottery ticket, not a core position, and the range of outcomes is genuinely \$5 to \$100 over 3 years.

ENTRY POINTS: I'd wait for a pullback to \$14-16 — the stock has visited that zone multiple times this year and it's a much better risk/reward than chasing at \$19.

TIME HORIZON: 18-36 months. You're waiting for either a commercial quantum breakthrough or federal funding acceleration — neither happens on a quarterly cadence.

WHEN TO BAIL: If they announce a capital raise below \$15, if the CEO leaves, or if a competitor hits a major commercial milestone first — any of those and the thesis is broken.

HEDGING: Simplest hedge is pairing a small RGTI long with a small QBTS long — that way you own "quantum computing" as a theme rather than betting on which company wins. If you must pick one, you're taking single-stock risk.